

FNF pitch deck

Both benches are in and agree, so this is a straight authoring job: the deck below records the court's rejection of the "fairly-priced carry" classification, the hold that survives it, and the cure path — no new verification was run session-side (SEC and IBKR both remain blocked, as both benches confirmed live).

PITCH — FNF — PROPOSED VERDICT (one line)

PROPOSED — PENDING ADJUDICATION: Hold the existing 210 shares (break-even, avg \$48.005 vs ~\$48 tape) as an *unclassified* position — the "fairly-paid carry" label is REJECTED by both benches until the Q2 10-Q is read as a primary source; no adds, no buy band, no forced exit.

What we believe

Fidelity National Financial is the largest US title insurer, with a majority stake (~72%) in the publicly traded annuity company F&G. The original thesis held that the stock, down about 16–19% from its 52-week high after a soft Q2 report, was a fairly priced dividend carry: a ~4.3% yield described as "covered at ~38% of adjusted earnings," a title business trading at a sum-of-the-parts stub of roughly 9× earnings versus rival First American at 10×, with a September Fed cut as the volume catalyst and an October FHFA title-waiver update as the dated risk event.

After the adversarial review, we no longer believe the "fairly priced" part is *established*. We still believe the franchise and dividend are real — the market's consensus is Buy with an average target of \$61.40, F&G upstreams roughly \$94M/year of actual cash dividends to the parent, and GAAP payout is 48% — but every load-bearing valuation leg turned out to be unverified, and each unverified leg happened to lean in the thesis's favor. What survives is a hold, not a conviction.

What the market believes

The market is not pricing the bear case. Sell-side consensus is Buy with an average price target of \$61.40, about 28% above the current price. The stock sits mid-band — 16% off its 52-week high but 13% above its 52-week low — which is drift after a disappointing quarter, not a dislocation. The Q2 report ([issuer release, primary](#)) showed GAAP revenue of \$4.051B and GAAP EPS of \$1.08, and contained only positive forward language ("exceptionally well positioned..."). The prevailing view appears to be: rate cuts eventually revive transaction volumes, the dividend is safe, and the FHFA title-waiver pilot (which runs to November 30, 2027) is a contained experiment on refinance loans.

Why we might have edge

Honestly: after this court, less than we thought. What genuinely remains:

- **The dividend-coverage framing is misleading in a way the street repeats.** “38% of adjusted EPS” counts 72% of F&G’s earnings that mostly do not reach the parent as cash. Real parent-level arithmetic: ~\$552–555M/year of dividends against \$457M of holding-company cash (under 10 months of cover) plus ~\$94M/year of actual F&G dividends. If the title subsidiaries’ regulator-approved dividend capacity (in the unread 10-Q) is tight, the market’s “safe yield” assumption is softer than it looks. This cuts both ways — it is currently an argument for caution, but a clean 10-Q reading would *upgrade* the position.
- **The rate-catalyst skepticism.** The precedent is documented: the Fed cut 100bps between September and December 2024 and the 30-year mortgage rate *rose* from 6.08% to 7.01% by January 2025, because mortgage rates key off the 10-year Treasury and MBS spreads, not the federal funds rate. If the street is holding this name for a September-cut volume recovery, that catalyst can fire and deliver nothing.
- **The blue bench found something both original benches missed:** F&G has a 6.875% Series A *mandatory* convertible preferred outstanding ([F&G dividend press release, primary](#)). Mandatory conversion will mechanically dilute FNF’s stake below 72%, which shrinks both the sum-of-the-parts math and the future dividend stream from F&G. Terms and timing are in the unread filings. We may be early to this detail.

Why it might be priced in

- The stock already fell ~16% from its high; the market has repriced the soft quarter once.
- Consensus is Buy at \$61.40 — meaning the professional coverage that has read the 10-Q we haven’t apparently doesn’t see a solvency or coverage problem.
- The FHFA waiver threat is publicly reported ([HousingWire](#), [National Mortgage News](#)) and has been in the price for months; it is an open-ended tail everyone can see, not private information.
- The F&G cash-versus-consolidated-earnings distinction is standard insurance-holding-company analysis; any careful reader of the statutory filings gets there.

What we checked ourselves

Including where our own benches got it wrong:

Claim	How checked	Found	Confirmed?
Market cap ~\$12.87B; share count	Issuer Q2 release vs the evidence pack	Pack’s 273M diluted (stale 2025 XBRL) superseded: 267M weighted diluted, 268.19M outstanding	✓ Confirmed (pack corrected)
Q2 revenue “missed at \$3.718B vs \$3.808B” (the repricing story)	Fetches the issuer release directly	GAAP revenue was \$4.051B; the release’s ex-investment-gains figure extracts to ~\$2.5B (title segment). \$3.718B reconciles to neither — the central fact of our original cause-check has unverified provenance	✗ Not confirmed — our own error
“Management guided H2 title margins down”	Full read of the release	The release contains no H2 margin commentary at all — only positive	✗ Not confirmed — our own error

Claim	How checked	Found	Confirmed?
		forward language. The claim exists only in secondary earnings-call coverage; transcript unread	
“Dividend covered at 38% of adjusted EPS”	Release + parent-level cash math	Consolidated adjusted EPS includes F&G earnings that don’t arrive as parent cash. GAAP payout is 48% (\$0.52/\$1.08); dividends ~\$552M/yr vs \$457M holdco cash	✓ Framing defect confirmed
Red bench error: “F&G earnings never reach the parent as cash”	F&G’s own dividend press release	Overstated. F&G pays \$0.25/qtr; FNF’s ~94M shares receive ~ \$94M/yr of real cash — about 17% of the dividend bill. Blue corrected red	✓ Correction confirmed
Red bench error: “Title revenue is Q2-peaked, so the stub multiple annualizes the best quarter” (2025: Q1 \$2.729B → Q2 \$3.635B, +33%)	Re-read of the same pack data	Contaminated evidence: 2024’s Q2 (\$3.158B) was <i>below</i> Q1 (\$3.299B). Consolidated revenue carries F&G investment marks, so the 2025 jump is partly mark noise, not title seasonality. The classification kill stands on other grounds, but this exhibit was weaker than red claimed	△ Partly artifact
Sum-of-the-parts: title stub ~9× vs First American ~10×	Traced to source	It is our own annualization, self-labeled UNVERIFIED in the thesis — which by itself fails the “fairness verified” bar for the carry classification	✗ Not confirmed
September Fed cut → title volumes	Historical precedent (Freddie Mac rate series)	Sept–Dec 2024: Fed cut 100bps, 30-yr mortgage went 6.08% → 7.01%. Coupling refuted	✓ Refutation confirmed
“~October 2026 FHFA waiver expansion milestone”	Primary-source hunt	No primary document dates any October milestone; FHFA Director Pulte’s expansion remarks are from June 24, 2026, and the pilot runs to 11/30/2027. Real threat, wrong date — our own error	✗ Date not confirmed
Aug-10 drop –4.36% = “sector move at 1.6× beta”	First American same-day tape	FAF fell –2.71%, so a sector move existed, but ~165bps was FNF-specific and unexplained; a two-point one-day ratio is not a mechanism	△ Partial
F&G mandatory convertible preferred dilutes FNF below 72%	F&G press release (blue bench find)	Exists and is mandatory; terms/timing unread	△ Plausible, unread
Live tape / SEC filings direct read	Attempted this session	Both blocked: SEC.gov returned 403 on all routes; IBKR tools present but unpermissioned. Price basis is the 8/10 vendor close (\$47.99) cross-checked against two vendors; the 10-Q itself is unread	✗ Coverage gap, declared

PROPOSED ENTRY BANDS

The courts say no entry. No adds at any price until the classification is cured — the benches were explicit that the missing information (the 10-Q) could resolve either direction, so a lower price alone is

not a buy signal. Current position: hold 210 shares at avg \$48.005 (break-even; costs nothing to keep or to unwind).

Reopen conditions (the cure path — all from the benches' own lists):

1. **Read the Q2 10-Q (filed 2026-08-06) as primary.** Reopen a buy band only if all three hold: regulator-approved dividend capacity of the title subsidiaries $\geq$ ~\$600M/yr; debt at the holding company confirmed separable from F&G's; claims-reserve development flat or favorable.
2. **Rebuild the sum-of-the-parts on a seasonality-weighted full-year 2026 title estimate** (not a single-quarter annualization). Reopen only if the title stub still comes out at or below $\sim 10\times$ the First American equivalent.
3. **Extract F&G's mandatory convertible preferred terms** (conversion date and share count) and re-run the stake math below 72%.
4. **Read the Q3 earnings-call transcript's actual second-half margin language** (the Q2 release contained none).
5. **Kill condition, not reopen:** any primary Fannie Mae/FHFA document expanding the title-waiver pilot to *purchase* loans flips the recommendation to arguing EXIT, not hold.

Price references while unclassified: the standing alert below \$44 (roughly -8% from here, approaching the 52-week low of \$42.79) triggers a re-review, not a buy. No trim level — both benches judged the position itself unimpaired (red: only 3/10 conviction of impairment; consensus Buy/\$61.40).

Known dates: Q3 print ~2026-11-05 (vendor-derived, unconfirmed by company PR); FHFA biannual update sensor dated 2026-10-31 (the courts note no primary source confirms an October milestone — treat as a check-in, not a deadline); pilot end 2027-11-30; September FOMC (2026-09-15/16) is on the calendar but the courts refuted it as a mortgage-volume catalyst.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 44.0 (deck-provisional: standing alert — approach of 52w low \$42.79 triggers re-review (not a buy) while position is unclassified)
- filing watch: 8-K until 2027-02-07 (deck-provisional: Q3 results + transcript: capture actual H2 title-margin language (absent from Q2 release) and holdco c)
- dated pack FNF|2026-08-05: FNF Q2 8-K (AMC): adj title margin ($\geq 13.5\%$) + purchase orders opened/day YoY + holdco cash + buyback pace. PAIR-COURT 08-02 CONTEXT: NO pos
- dated pack FNF|2026-10-31: FHFA title-waiver biannual update: scope change?
- dated pack FNF-ADOPTERNULL|2026-08-07: FNF Q2 10-Q (~Aug 6-8) Title segment table: personnel / (seg rev - agent commissions), H1-26 vs H1-25 (Q1-26 was 53.6%; FY25 49.9%).
- dated pack FNF-REVIEW|2026-08-07: LEGACY-BOOK DATING (bands-rest-by-default doctrine, applied retroactively 2026-08-05). Orders: BUY 210.0@48.0 USD. printed 08-05 - post-prin

- dated pack FNF|2026-11-05: FNF: Q3 print (vendor-derived date, no company PR yet) (date confirmed=False)
- dated pack FNF|2026-09-16: FNF: September FOMC — courts refuted the Fed-cut-to-mortgage-volume coupling (2024 precedent: 100bps of cuts, 30yr rose 6.08%→7.01%); can f
- dated pack FNF|2027-11-30: FNF: FHFA title-waiver pilot end date (date confirmed=False)

What remains unverified

- The entire Q2 10-Q (filed 2026-08-06): statutory upstream dividend capacity, holding-company vs F&G debt split, claims-reserve development, lender-channel concentration, F&G's mortgage-loan schedule. SEC.gov blocked (403) in both bench sessions and this one.
- The provenance of the \$3.718B "revenue miss" figure — it matches neither GAAP revenue (\$4.051B) nor the extractable ex-gains figure (~\$2.5B).
- Any H2 title-margin guidance from management — the release has none; the earnings-call transcript is unread.
- The F&G mandatory convertible preferred's terms, timing, and share impact.
- The Q3 print date (2026-11-05 is vendor-derived, no company PR).
- Live tape: IBKR unpermissioned this session; price basis is the 8/10 vendor close cross-checked across two vendors, and the pack's \$48.46.
- The sum-of-the-parts stub multiple on a seasonality-corrected basis (never computed with F&G marks stripped out).

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